

Beyond Regime Type: How Institutions Drive Prosperity

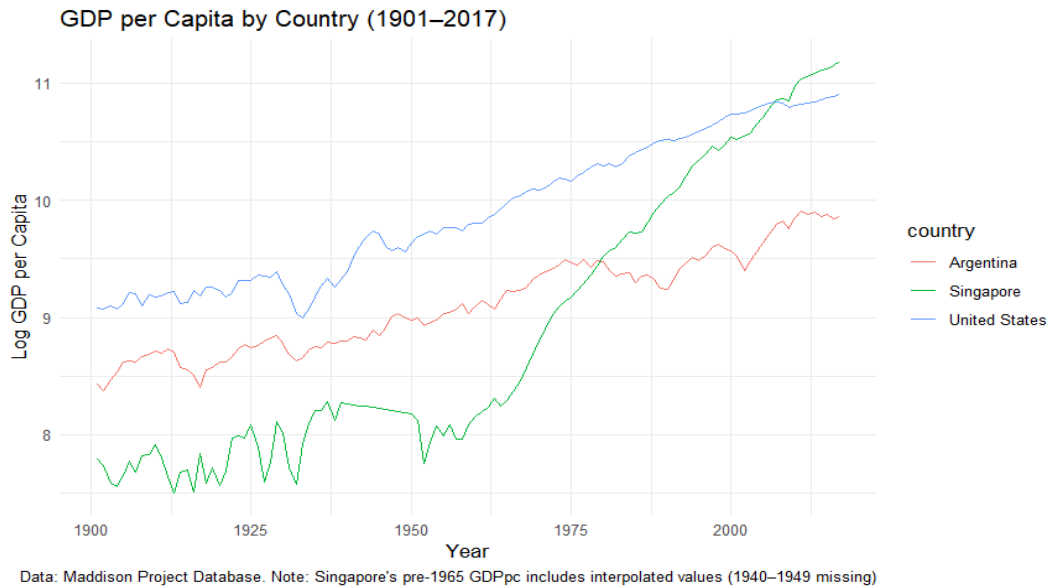
The formal and informal rules that govern economic behavior—from property rights and law enforcement to social norms and conventions—fundamentally determine whether societies grow under scarcity or stagnate under abundance. While institutional economics has established that these 'rules of the game' shape development trajectories, this essay argues that sustained economic development hinges on institutional adaptability—the capacity to evolve with market complexity while maintaining credible commitments—rather than regime type

To test this framework, I analyze two cases that challenge conventional regime-type explanations: Argentina's descent from prosperity to persistent stagnation despite recurrent democratic institutions, and Singapore's rise from resource-poor entrepôt to advanced economy despite autocratic governance. Using historical GDP per capita from the Maddison Project, and regime classification from Polity IV data, I posit that prosperity requires frameworks that adapt to global conditions and elucidate how seemingly democratic regimes may mask underlying extractive institutions. The critical distinction lies not in political classification but in whether institutions enable adaptive efficiency [1] through market-preserving commitments or calcify into arrangements that privilege redistribution over adaptation.

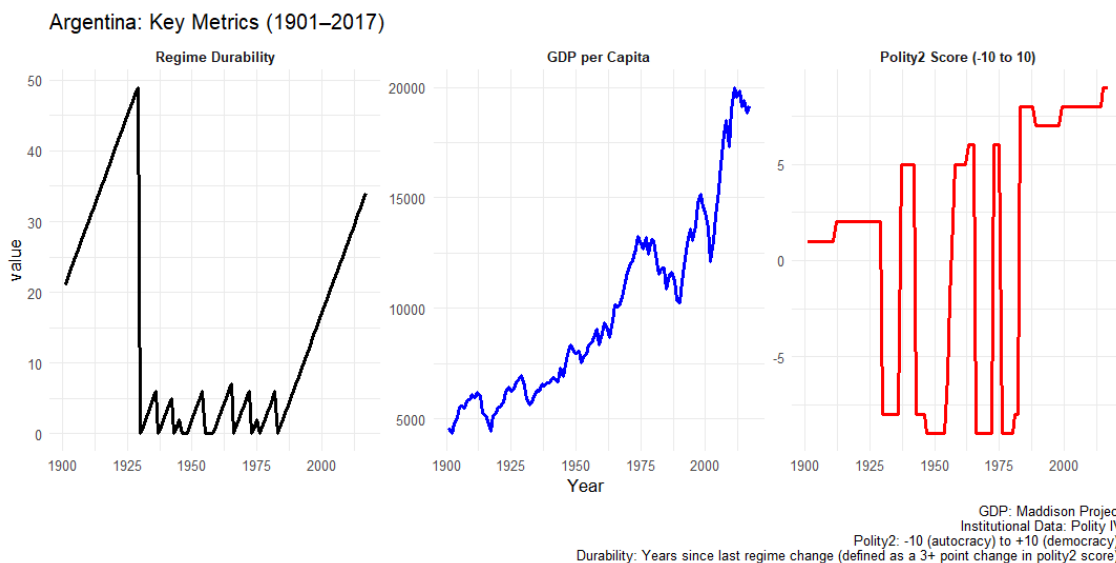
Case Studies

Following an export-led boom in the 1860s, Argentina became one of the wealthiest countries worldwide in GDP per capita terms. Fueled by fertile pampas, European investment, and trade-friendly policies, the country became a “super-exporter” [2]; capitalizing on low trading costs and its unique diversity of crops. But this period of prosperity came to a halt when, in 1930, a military coup dismantled Argentina’s constitutional democracy; marking a historical critical juncture¹. By the mid 1900s, the Argentine economy had stagnated, trapped in cycles of protectionism and populism, favoring redistribution over production [3].

¹ Situations of uncertainty in which decisions of important actors are causally decisive for the selection of one path of institutional development over other possible paths [4]



Following five decades of political instability (reflected in large oscillations in Polity2² scores), democratic institutions prevailed uninterruptedly from 1984 onwards. Against this political background, however, wage controls and nationalizations distorted price signals and discouraged investment, whereas hyperinflation and abrupt policy reversals eroded public trust. Fiscal mismanagement, protectionist policies, and high levels of debt constrained the possibilities of the country to adapt to changing global market conditions. Since then, Argentina's institutions, though democratic, became tools for elite capture and the breeding ground for nepotism, bribery, and fraud.

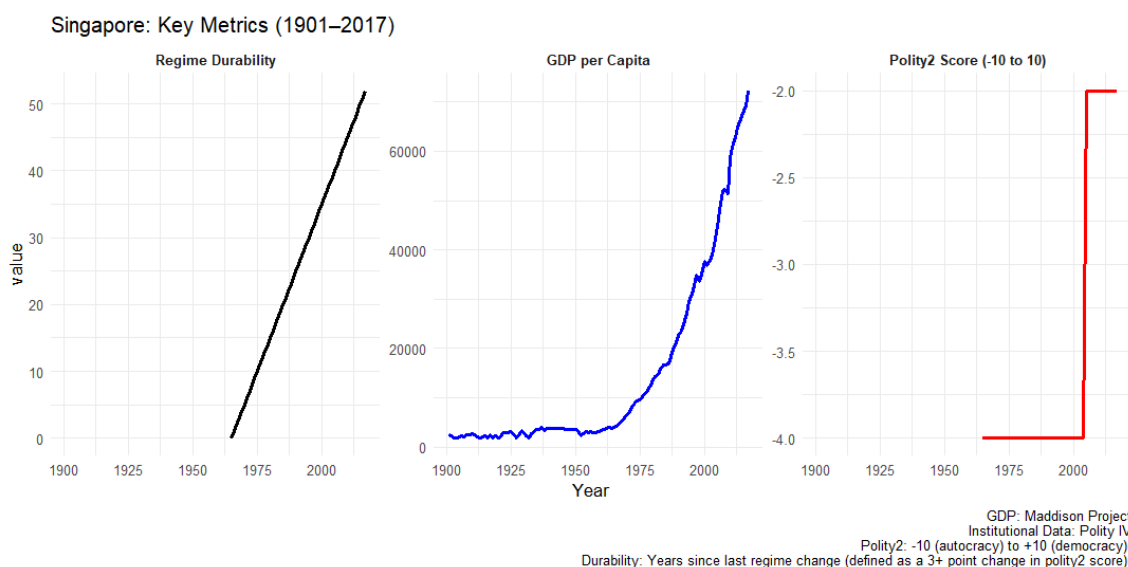


² Polity 2 scores reflect regime type, with +10 signaling highly democratic and -10 highly autocratic. [5]

In contrast, Singapore's trajectory defies simplistic democracy-growth narratives. Prior to its independence in 1965, it was a port-city with few natural resources [6]. The country's GDP per capita was stagnant. Yet, despite this unfavorable initial condition, Singapore underwent a political transformation that sparked double-digit growth for years to come.

Lee Kuan Yew's autocratic government combined rigid anti-corruption frameworks with flexible economic policies. The Corrupt Practices Investigation Bureau (CPIB) established credible constraints on rent-seeking, while technocratic governance enabled rapid adaptation to global market opportunities. This institutional framework facilitated a seamless progression up the value chain: from labor-intensive manufacturing in the 1970s to high-tech exports and financial services by the 2000s [7]. Moreover, Singapore's regime durability—52 uninterrupted years—enabled the long-term investments in human capital and infrastructure necessary for economic transformation.

The results were transformative: Singapore escaped stagnation and locked-in a path to prosperity, eventually reaching GDP per capita levels 130% of that of the U.S. This success stemmed not from democracy, natural resources, or historical advantages, but from institutions that adapted to market signals while upholding property rights and the rule of law. By resisting both ideological constraints and rent-seeking pressures, the government created an environment that combined predictable rules with decentralized economic experimentation.



The divergent trajectories of Argentina and Singapore reveal a more nuanced institutional logic than regime-type explanations suggest. Argentina's democratic institutions, while nominally inclusive, failed to establish credible commitment mechanisms to constrain elite predation and incentivize market adaptation. Singapore's authoritarian framework paradoxically fostered inclusive economic institutions, maintaining credible constraints on rent-seeking while enabling dynamic efficiency. These cases challenge democracy-development theory in two ways: revealing that formal democratic institutions may mask extractive institutions [8]; and

demonstrating how autocratic systems can, under specific institutional conditions, support market-preserving federalism [9, 10].

The Ingredients of Prosperity: Adaptation and Credibility

These case studies reveal two fundamental mechanisms through which institutions shape economic performance:

1. **Adaptive Efficiency:** Singapore achieved what Douglass North termed 'adaptive efficiency' [1], that is, the capacity to adjust institutional frameworks while maintaining coherent rules. This manifested in Singapore's sequential industrial targeting: institutions evolved to support increasingly complex economic activities while preserving policy credibility. Argentina's failure stemmed not from democracy per se, but from institutional frameworks that stifled economic dynamism.
2. **Credible Commitments:** Singapore's durable institutional framework enabled what Barry R. Weingast calls 'market-preserving federalism' [8], a system that centralizes rule enforcement while decentralizing economic decisions. Singapore created credible commitments and forward-looking policies that facilitated adaptation to global opportunities. In contrast, Argentina failed to constrain rent-seeking behavior, letting political volatility hinder development.

These mechanisms help explain broader patterns in economic development beyond these specific cases. Similar institutional dynamics shaped outcomes in South Korea's developmental state, Chile's market liberalization, and China's post-Mao market reforms. The critical factor is not regime type but institutional capacity to balance stability with adaptation while maintaining credible constraints on both state and private actors.

Conclusion

Whether societies prosper or stagnate depends on their institutional adaptability. This analysis reveals two implications for institutional economics. First, North's concept of adaptive efficiency provides a more robust explanation of economic divergence than traditional regime-type analysis. Second, Weingast's market-preserving federalism framework illuminates how institutional arrangements can simultaneously enable adaptation and maintain stability, regardless of formal political classification.

The experiences of Argentina and Singapore demonstrate that successful development requires a delicate balance between institutional stability and adaptability. Consequently, policymakers should focus less on replicating specific political systems and more on developing institutional frameworks that:

1. Enable systematic experimentation while maintaining policy credibility.
2. Create durable constraints on rent-seeking behavior, political and industrial, to incentivize innovation.
3. Foster market coordination through predictable rule enforcement.

The path to prosperity thus lies in creating institutions that evolve with market complexity while preserving credible rules—a framework that supports sophisticated economic activities through fundamental market predictability.

References

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Supplementary

Code and datasets available at this [github repository](#).